

How a pre-qualified loan is calculated

Five inputs from the business: revenue **R**, costs **C**, sector, year registered (years trading **Y**), and the chosen term **m** ∈ {3, 6, 9, 12} months. Every figure below follows from those.

01	Monthly surplus $P = (R - C) \div 12$	The money actually available to service debt each month.
02	Profit margin $M = (R - C) \div R$	Feeds the score, so thin-margin businesses score lower.
03	Score S (clamped 40–92) $S = 50 + \min(Y, 10) \times 1.5 + \text{sector} + \min(M, 0.45) \times 42$	sector: Retail 6 · Logistics 5 · Services 5 · Agriculture 4 · Manufacturing 4 · Energy 3 · Other 2
04	Rating out of 5 $R5 = \text{round}(S \div 20, 1\text{dp})$	≥4.0 Strong · ≥3.0 Stable · ≥2.0 Weak · below that Distressed.
05	Yield / cost of the loan (clamped 10–15%) $y = 10 + (100 - S) \times 0.08 + ((m - 3) \div 9) \times 1.5$	A weaker score and a longer term both raise the cost.
06	Affordable monthly payment $A = P \div 1.25$	1.25x cover floor: the payment never exceeds 80% of surplus.
07	Pre-qualified amount $Q = \min(A \times m \div (1 + y/100), R \times 0.35)$	Rounded down to the nearest RWF 100,000. Affordability binds first; the 35%-of-revenue ceiling is the backstop.
08	Repayment shown to the business $\text{Total} = Q \times (1 + y/100) \cdot \text{Monthly} = \text{Total} \div m \cdot \text{DSCR} = P \div \text{Monthly}$	DSCR lands at 1.25x unless the 35% cap binds, in which case it is higher.

WORKED EXAMPLE

Revenue **RWF 120M**, costs **RWF 90M**, Logistics, registered 2018, term 12 months.

$$P = 2,500,000 \cdot M = 0.25$$

$$S = 50 + 12 + 5 + 10.5 = 77.5 \rightarrow R5 = 3.9 \text{ (Stable)}$$

$$y = 10 + 1.8 + 1.5 = 13.3\%$$

$$A = 2,000,000 \rightarrow 2,000,000 \times 12 \div 1.133 = 21,183,000 \mid \text{cap} = 42,000,000$$

$$Q = \text{RWF } 21,100,000 \cdot \text{monthly} \approx \text{RWF } 1,993,000 \cdot \text{DSCR } 1.25\text{x}$$

Pre-qualification only. Figures are self-reported estimates until an Audit Partner confirms them; the final amount, rate and term are set at approval.